



United States
Attorney's Office
Central District of Illinois



Eureka Chiropractor Convicted of Defrauding Medicare, Insurance Companies Out of More Than \$1.5 Million

Monday, February 24, 2025

For Immediate Release

U.S. Attorney's Office, Central District of Illinois

PEORIA, Ill. – A federal jury returned a guilty verdict late Friday evening against Carrie Musselman, 48, of Eureka, Illinois, for defrauding Medicare and other insurance companies out of more than \$1.5 million dollars and for five counts of wire fraud in furtherance of her scheme to defraud. Sentencing for Musselman has been scheduled for June 24, 2025, at the U.S. Courthouse in Peoria, Illinois.

Over 13 days of testimony, the government presented evidence establishing that Musselman, a chiropractor in Eureka, engaged in a scheme to defraud Medicare and other insurance companies. As part of the scheme, Musselman disguised the identity of the people providing services and misrepresented the nature of the services that had actually been provided.

For instance, Musselman falsely claimed services were being provided by physicians when they were actually being provided by nurse practitioners and physician's assistants. This resulted in an automatic pay increase for Musselman and her practice. In addition, one of Musselman's highest reimbursement services, the placement of an electroacupuncture (which she was falsely billing as a surgically implanted neurostimulator), would not have qualified for any payment but for her deception. Musselman also billed for services that were not actually rendered. This included not only billing for neurostimulators that were never provided, but also for purportedly providing patients with allergy injections when, in reality, no such injections were given. Instead, patients were sent home with oral drops that had not been approved by the Food and Drug Administration, were considered "experimental," and had not been proven to be effective.

Musselman remains released on bond. At sentencing, Musselman faces statutory penalties of up to 10 years' imprisonment for the healthcare fraud charge and up to 20 years' imprisonment for each of the wire fraud charges, to be followed by up to three years of supervised release on each of the counts. Each of the six convictions could also incur up to a \$250,000 fine.

The case investigation was conducted by the Federal Bureau of Investigation, Springfield Field Office, and the Department of Health and Human Services, Office of Inspector General, Office of Investigations. Assistant U.S. Attorneys Douglas F. McMeyer, Bryan D. Freres, and Grace J. Hitzeman represented the government at trial.

Updated February 24, 2025

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